

By Malini Bhupta

Gold, analysts have come to know, is a currency without any country. In times of sovereign failures, bank collapses and currency turmoil, investors are fast realising that there is only one safe haven—gold. The precious metal has always been a hedge against any kind of uncertainty even in the past, but now the uncertainties themselves have morphed and consequently so have the functions of gold. From central banks to retail investors, everyone's betting on the precious metal. So it's not surprising that the yellow metal has been rallying like crazy over the last five years, particularly so in the last two years.

Imagine this: if you had bought gold worth Rs 1,00,000 in 2003-04, the current value of your investment would be Rs 2,75,705, a cumulative



Where is GOLD HEADED?

Gold prices have had a dream run ever since the worldwide recession hit. Great returns in the middle of a protracted slowdown mean a new rush, one that may go on for long.

aggregate growth rate of 19 per cent and an absolute return of 175 per cent. Most investment advisers are now taking gold as seriously as they have been taking equities, given that the world is not as stable a place as it used to be and currencies of several countries are fast losing their value. Clearly, gold is now a lot more than a hedge against inflation. It is a compelling asset class that is giving mouth-watering year-on-year returns. Be it over the short term or long term, gold has outperformed most asset classes consistently in

the last five years.

Over the last six months, gold has appreciated by 4.38 per cent while the Sensex has appreciated by 0.11 per cent and an investment in bank deposits would have fetched 3 per cent. Over a five-year period, gold has given 208 per cent absolute returns, while equities have given returns of 160 per cent in the same period. Clearly, gold is a winner across the spectrum, barring a few other agricultural commodities.

Explaining this phenomenon, Jayant Manglik, president Religare

Commodities, says: "Money will find a place where it will earn returns. Due to lack of any safe destination around today, money is being parked in gold. Interest rates around the world are very low and inflation is high, so returns are negative. Therefore, over the next six months at least, gold will continue to deliver good returns."

With gold touching a record Rs 19,000/10 gm this week, the question is: will the prices of gold continue to rise? For the next few months, analysts claim that gold will continue on its upward journey and scale some